

SIMPLE & EFFECTIVE INVESTING

Beginner's Guide to Index Investing

THE 10-STEP
PROVEN STRATEGY
TO GET STARTED



FIRE Belgium.com

Introduction

If you are interested in investing but you are not sure where to start, or you want to make sure you are not missing anything, you are in the right place.

In this guide I describe a proven step-by-step approach to take control of your finances and start investing in a simple and effective way.

The approach is so simple that anyone can do it. It is called index investing.

The benefits of index investing are hard to overstate:

- Proven to generate **far better returns** than the average investor¹
- Based on both simple **common sense** and **Nobel Prize-winning** financial economics research on topics like Modern Portfolio Theory² and the Capital Asset Pricing Model³
- **Simple to understand and to setup** (you do not need to be a financial professional)
- Once it is setup, it **only takes a few hours per year to manage** (one of the only truly passive sources of income)
- Provides the widest possible diversification in just one transaction
- Optimized for both growth and stability and can easily be adjusted to your level of risk tolerance
- Investors can start **from less than 100 euros**

All you need to start index investing is to learn a few simple but powerful principles and follow a simple framework.

¹ Over the last 15 years, only 10 to 15% of actively managed funds have outperformed the benchmark:

<https://us.spindices.com/spiva/#/reports>

Investors on average underperform the market by more than 4% per year due to excessive fees, emotions and speculative behavior: Dalbar Quantitative Analysis of Investor Behavior 20 years average returns (1994 – 2014)

² <http://www.gacetafinanciera.com/TEORIARIESGO/MPS.pdf>

³ <http://e-m-h.org/Shar64.pdf>

My 12000 euros mistake

When I started investing in 2012, I didn't have such knowledge or framework. So I listened and trusted bankers and financial advisors. I signed up to a plan they offered and invested in the funds they advised. Only later I realized that they were not giving me the best advice, they were selling me the products that made them the most money (that's how they make a living!). I ended up **losing 12000 euros to the fees and costs of the plan**.

Not all advisors are that unscrupulous of course, but **it forced me to take control of my investments**. I studied and learned as much as I could (I even took a university course!) until I came across index investing. And that is when everything changed.

I learned a lot from the [Bogleheads](#) and [JLCollins](#) as well as a few other sources. I highly recommend you check them out. One challenge is that the advice was mostly tailored to US investors so I had to find ways to make it work outside. There were some resources, but they were limited.

Including all my mistakes, it took me about 2 years to gather all the necessary knowledge to develop a plan that would work for me outside of the US and start investing.

Once I had it figured out, I started helping my friends and colleagues, making sure their money would be working for them and not for the banks and advisors.

This knowledge was so important that a community started growing around what I was sharing. That is how SimplyFI got started, a community that now serves more than 20,000 people. I am now doing the same in Belgium with FIRE Belgium, which exceeds 4,500 members.

As I was helping people, I started developing a learning framework and over time I refined it. What I have today is **an effective process through which people in Belgium can quickly acquire the knowledge, build their own investment portfolio and start DIY investing on their own**. All I do is to facilitate the process, ask the right questions and provide guidance. This document highlights the 10 fundamental steps of the framework that I teach.

Before we dive in

Before we dive into the 10 steps, there are a few things I want to clarify:

Index investing has the power to completely transform your life. Whether you are looking to create more security, more opportunities, more freedom, more control or more independence in your life, index investing will help you do it. The simple knowledge in this guide changed my life in ways I thought impossible a few years ago. I want you to benefit from it too.

Index investing is simple. Everyone deserves the right to benefit from it. My goal is to help as many people as possible understand and benefit from the power of index investing.

The financial industry does not want you to know how to invest. Yes, that includes your bank and many financial advisors. What I present in this guide is designed to help you make money. And in many cases that will make you more independent of their services and hence go against their interests (despite what they claim). They are often biased into keeping your savings in funds that pays them well, rather than teaching you how to invest on your own and avoid those useless fees.

Money is a powerful tool, but it is only a tool. While it is important that you learn how to handle it, do not lose sight of your real goals in life and pursue them via other means as well. Do not make money your goal.

Powerful tools can be used to do a lot of good. With the guidance of effective altruism, I like to use my resources, time and freedom created by this simple investing approach to help make the world a better place. This is what drives me today, the opportunity to create a positive impact around me. And this knowledge is a core part of what enables me to do that.

Disclaimer

I am not a financial advisor and the information in this document is not financial advice. It is provided for information purposes only.

The 10-step proven strategy to get started with index investing

1. Yes you can be an investor. Everyone can learn this simple and effective way of investing.

Investing is simple, much simpler than what the financial industry (including your bank!) wants you to believe. Making it look complicated is how THEY make money.

Starting from scratch, you can learn about index investing and get started in a few weeks, and then manage your portfolio in less than 10 minutes per month. That's it!

And no, you don't need to be rich to get started. You can invest with as little as 100 euros and benefit from the global market growth as much as (and probably even more than) the biggest investment firms and institutions. It's simple and you can do it too.

The first step is to break away from the false beliefs that are keeping you away from investing.

EVERYONE can do this. **YOU can do this.**

Example:

When I was in the UAE and I first started to look for ways to build a pension, I spoke to my company HR, my bank and financial advisors. All were advising me to sign up to a savings plan. I wanted to learn more about how that worked, but the plans were designed in a way to hide and confuse the investor, with many layers of hidden fees. These plans are especially designed to keep the investor in the dark, extract fees where possible and pay big commissions to the advisors who are selling them. Their primary goal is to generate sales, not to serve the investors.

[Here](#) I describe in more details how bad it was.

2. Where are you now? Figure out your net worth.

How much have you accumulated so far? Are you net positive or net negative?

Estimating your net worth is like taking a snapshot of everything related to your finances today:

- **ASSETS:** You list all the valuable things you own (your savings, your house, your investments, etc.) and you add up their value.
- **LIABILITIES:** Similarly, you list everything that you owe to others (any sort of loan or debt, including your house mortgage) and you add them up.

Have you included everything? Subtract what you owe from what you own. Something like this:

NET WORTH = ASSETS - LIABILITIES

That's it. You know your net worth.

If it's positive, you're already going in the right direction. If it is negative, then right now is the best time to take back control of your finances.

Congrats on taking the first step to control your personal finances!

3. Where is your money going? Track your finances.

The same way accounting is essential to run a successful business, **knowing where your money is coming from and where it is going is the very foundation of successful personal finance.**

Start simple, estimate how much you're saving from your income.

1. For the current month, write down and add up all your family income.
2. Then figure out how much you spend in a month by comparing the value of your accounts on the first and last day of the month (including credit cards!).

Your total spending is below your total income? Congrats, you're already on your way to building financial security and freedom.

Next, take it to the next level: breakdown of your expenses.

1. Use the data you already have: look at your bank and credit card statement for the past month and estimate your expenses for different categories. I recommend the following categories: accommodation, transport, groceries, dining out / take-aways (incl. drinks), entertainment, travel, healthcare.
2. Track your ongoing spending, with a spreadsheet or an app. Record every single euro that goes out of your pocket (or bank account). Make sure you don't miss anything and review at the end of the month.

This single step alone can completely change your personal finance and help you save a ton of money. You will quickly find leaks (things you spend money on but don't want or don't need to!) **If you've never done it, please do not skip this step!**

If you want to know what that looked like for when I was getting started, [watch the next 4 minutes on this video recording](#).

That is how my personal finance journey started. I was broke, I had to find a way to make things work, and tracking my finances was the very first step I took to get out of a tough situation.

It helped me make sure I had enough to cover my expenses and find a back-up plan if I was in trouble. It then helped me make forecasts of where I was going with my money, and that helped me a lot.

I attribute a large part of my financial freedom today to that single habit of tracking my finances.

4. Where are you heading? Decide on your financial goals.

Now that you know where you are and how you're progressing, it's time to set clear goals. Think about what you want to achieve with your finances and write it down.

Make sure you decide when you want to achieve your goals as that will influence your strategy for reaching it.

You want to distinguish between

- short-term (<3 years),
- medium-term (3-10 years) and
- long-term goals (>10 years).

If you want to go further, it is also good to identify which goals are essential and which ones are secondary, especially if you have many goals.

In my own case, I made “investing for my pension” my main goal, so I would allocate the larger part of my savings to that goal. I also had secondary goals, such as saving for a big holiday (Going to Japan was my favourite trip ever, and also the most expensive one 😊)

5. Safety first! Build an emergency fund

If you don't have this already, it should be your very first goal. Set some savings aside as fast as you can.

Depending on how stable your income is, it is recommended to keep 2 to 6 months of expenses as your emergency fund. This will be your first line of defence should something unexpected happen (a big expense, an accident, a job loss, etc.)

Having an emergency fund will also give you the confidence you need to deal with tough situations. You could also be bolder at work or with entrepreneurship projects.

If you live in a country with poor social security, also consider getting some form of income protection.

Our ability to earn an income is often our most valuable asset, especially when we are young. In many cases, that is the first thing we should get insurance for, especially for single income households.

6. Let's get to work! Optimize and save for each of your goals

Increasing your savings is like a superpower that fuels the growth of your portfolio.

But it's not about being as frugal as possible. **It's about knowing what you value most and making sure you allocate resources to that more than to the rest.**

For your short- and medium-term goals, you want your money to be somewhere safe and stable, for example a savings account.

For your long-term goals, you want to put your money to work and start investing wisely. The best way to do that is index investing. It provides the best returns, without taking unnecessary risks thanks to wide diversification and low costs. This simple approach virtually guarantees better performance than whatever your bank or financial advisor will suggest. The truth is that you do not need them to invest well.

In the next 3 steps, we look at how to successfully invest via index funds.

The biggest savings will come from your largest expenses. Often that is housing, transport and food. The first often requires big changes but will also bring big rewards. For food and the other types of savings, every little bit helps and will compound over time. Start by looking at any ongoing expense (i.e. monthly subscriptions or plans) and cut whatever you do not use or do not need. Then consider downsizing.

One way of thinking about your expenses is to realize that if you invested that money instead, you would get more security and more freedom faster. Think about what matters most to you in the long term.

To me, saving and investing is simply my way of spending on my freedom, which I value more than lots of material stuff.

7. Find the right balance for you: determine your asset allocation.

Index investing provides the simplest and most efficient way to invest for the long term.

If done right, you can design a portfolio that lets you benefit from the stock market's incredible long term growth AND from stock market crashes (thanks to regular rebalancing).

To get both good returns and solid protection against market crashes, you will need to build a balanced portfolio of stock and bond index funds.

Stocks are highly volatile and provide growth. Bonds are stable and will reduce the volatility of your portfolio. **The combination of both asset classes increases your diversification and essentially provides increased performance for lower levels of risk.**

How much of each do you need? How to determine the right balance? That is your asset allocation.

Depending on your tolerance to risk, you will select an asset allocation that is more conservative or more aggressive. **Selecting the right asset allocation is essential for long term success. Many investors skip this step and end up being overexposed during market crashes.**

They panic sell when the markets are volatile and either burn themselves out or miss a big chunk of the returns.

The right asset allocation will ensure you can stick to your plan of investing for the long term.

The usual rule of thumb for asset allocation is the investor's age in bonds. So if you're 40, your asset allocation could be 40% bonds, 60% stocks.

While that is a good starting point, it does not take into account your personal situation.

A better way to think about asset allocation is to think about your time horizon and your tolerance to risk. A good way of doing that is to ask yourself the following questions:

- How much risk are you able to take?
- How much risk are you willing to take?
- How much risk do you need to take?

8. Your money making machine. Build your portfolio.

Once you have decided on your asset allocation, you need to decide what specific ETFs you will use to build your portfolio.

In many cases you only need 2 ETFs to build your portfolio: one index ETF for stocks and one index ETF for bonds. 2 ETFs, that's it!

To decide which ETF to invest in, you will need to understand 1. what makes a good index fund ETF, 2. the local tax rules and 3. your personal preferences. In my opinion, here some of the most important criteria:

1. What makes a good ETF?
 - a. Maximum global diversification
 - b. Low total expense ratio
 - c. Large assets under management
 - d. Reputable ETF provider
2. How to optimize for local tax rules (example for Belgium):
 - a. Tax treaties between US, Ireland and Belgium => Ireland domiciled ETF
 - b. Belgian Tax on dividends => accumulating ETFs
 - c. Belgian Tax on Stock Market Transaction => accumulating ETFs registered in an EEA country but not in Belgium
3. What are your personal preferences?
 - a. How do you feel about your investments being associated with weapons or high carbon intensity industries?
You might want to consider ethical or sustainable versions of the ETFs.
There are some solid options out there.

9. You need a roadmap. Write your personal investment plan

Once you have decided on your asset allocation and built your portfolio, you have to write all that down very clearly in your investment plan.

Your investment plan is your guide. It is there to help you answer all the important questions, and clarify your strategy. It will help you in times of doubt and because of that it is an essential part of a successful investing strategy.

Your Personal Investment Plan (PIP) should also include your investment goals (short-, medium- and long-term), a summary of your investing philosophy (hopefully something aligned with the Bogleheads approach to investing!) and your rebalancing strategy (a crucial aspect of long term index investing).

Investing for the long term requires a long term strategy. Something that works when markets go up but also when markets go down.

It's easy to hold on to index ETFs when markets are going up. It's much harder to do that when markets go down, even if we know we should not touch anything (or we "forgot" or "changed our minds" about something all of a sudden.

That is where your Personal Investment Plan comes into play. It's there to remind you that you have planned for this sort of situation and that your portfolio is designed to benefit from this as well. Simply stay the course and rebalance as you need.

10. Time to take action! Open a brokerage account and invest

When you have your portfolio built and your Personal Investment Plan ready, you're finally ready to get started!

All you need is to select a safe and reputable online broker (ideally one that handles the taxes for you), open an account, fund it and then make your first investment!

There are a few things to figure out around your brokerage account, but nothing too complicated. Once you know the basics, making an investment is (almost) as simple as making a bank transfer.

When choosing a broker, you want to make sure it is safe, convenient and cost effective. In particular, avoid any ongoing costs that would slow down the growth of your portfolio. These are far more important than the cost of individual transactions.

That's it. Sit back and relax. Stay the course and let the magic of compounding do the work!

The most difficult part is to get started. It can take a bit of time to learn the basics and muster the courage to start. But **once you have your plan in place and you have made your first investment, you can set up most activities on automatic.** You only need to contribute regularly to your portfolio, maintain your asset allocation and that is it! Forget about the rest!

There is no need to worry about the latest financial news or the crash predictions of all the financial gurus.

Index investing works for the long term and your portfolio is designed to handle any kind of market crash. Simply stick to your plan and go back to your life.

Investing is a tool for you to live a more fulfilled life. It does not need to take time away from life. It is designed to create more security, freedom and time for you to enjoy life to the fullest.

What next?

If you're interested in learning more, here are a few simple things you can do:

- Make sure you are subscribed to my newsletter so that you can receive more resources such as guides, templates, information about upcoming events, events recordings, as well as special offers.
- Join our online communities of personal finance enthusiasts on [Facebook](#) or [Meetup](#), ask questions and share your experience!

Free On-Demand Workshop: Index Investing for Beginners

<https://firebelgium.com/investingworkshop/>

In this workshop you will learn:

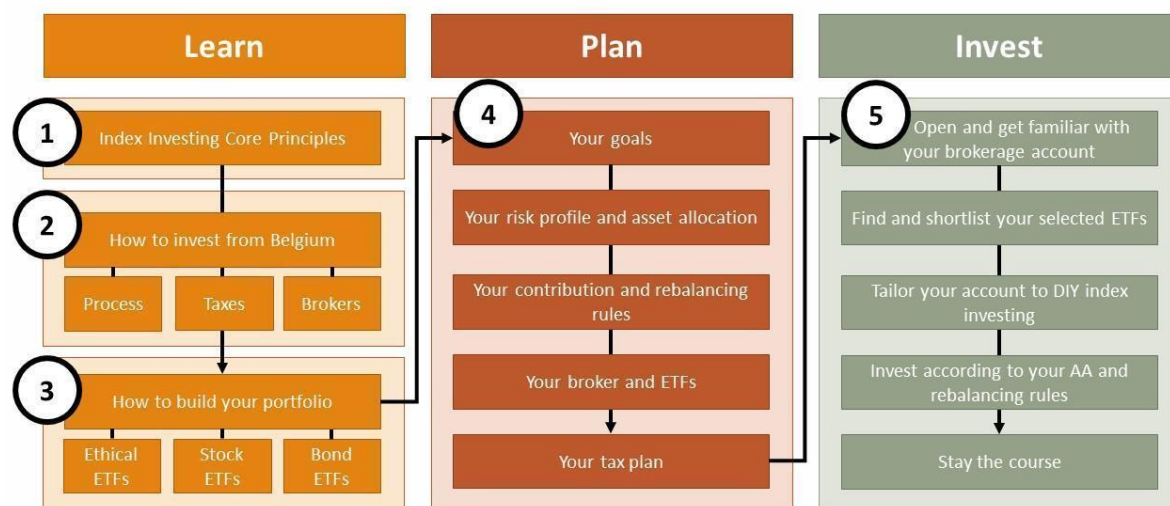
1. What makes index investing the **best way to invest for the long term**
2. How to get **better results than banks** and professional fund managers and protect yourself during market crashes
3. How to **invest well with 100 euros** (you don't need much to get started!) in **less than 5 minutes a month**
4. How to get started with index investing in Belgium in just a few weeks – my **practical roadmap** to learn everything you need to know and start investing with confidence.

I used to give this workshop live every 6 months or so, but to make it easier for everyone, it is now available on demand.

You can watch it here: <https://firebelgium.com/investingworkshop/>

At the end of the workshop I also present the program I have been developing since 2020 to help people in Belgium **start investing via index funds in just a few weeks**.

The program takes **complete beginners** through all the steps to gain the necessary knowledge, build a personal investment plan (broker, portfolio of ETFs, all optimized for costs and Belgian taxes) and implement it.



You will learn how to handle all of this on your own so that you have full control over your investments.

I am merely a guide and a coach to help you on the way. I have done this successfully for hundreds of people and I can help you too.

If you have any questions about this document, the workshop or the program, please email me at hello@firebelgium.com.

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